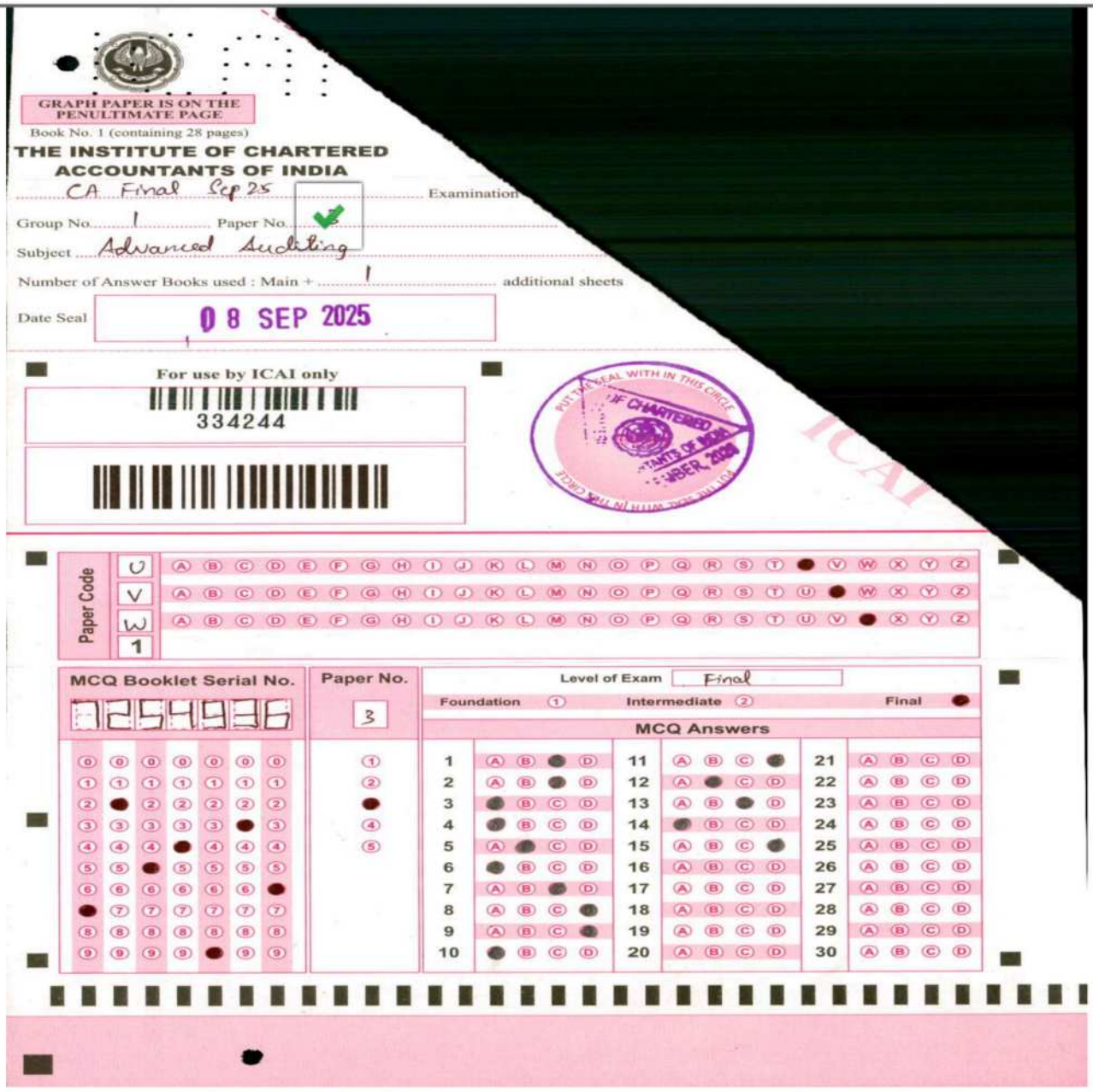
The Institute of Chartered Accountants of India

Code: FN3AP334244 **Total Marks:** 70

Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 50



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Sep 25 Examination

Group No. 1 Paper No.

Subject Advanced Auditing

Number of Answer Books used : Main + 1 additional sheets

Date Seal 08 SEP 2025

For use by ICAI only

334244

Paper Code: U V W 1

MCQ Booklet Serial No.: 7254936

Paper No.: 3

Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1	A B ● D	11	A B C ●	21	A B C D
2	A B ● D	12	A ● C D	22	A B C D
3	● B C D	13	A B ● D	23	A B C D
4	● B C D	14	● B C D	24	A B C D
5	A ● C D	15	A B C ●	25	A B C D
6	● B C D	16	A B C D	26	A B C D
7	A B ● D	17	A B C D	27	A B C D
8	A B C ●	18	A B C D	28	A B C D
9	A B C ●	19	A B C D	29	A B C D
10	● B C D	20	A B C D	30	A B C D

The Institute of Chartered Accountants of India

Code: FN3AP334244 **Total Marks:** 70

Subject : 03 Advanced Auditing Assurance and Professional Ethics **Marks Obtained :** 50

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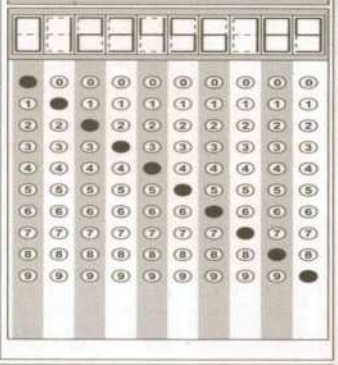
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", etc., will tantamount to adoption of "unfair means"

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Illustration for Filling the MCQ Booklet Serial No.



IONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

ncil to Darken the appropriate Circle.

en the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

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u want to change your Answer, erase the darkened circle completely and make a fresh mark.

lease do NOT make any stray marks on the OMR cover page.

Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3	✓	10	
4		11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	

03

Q6) a) As per SA 265, when the auditor, on the basis of audit work performed identifies deficiencies that constitute 'significant deficiencies' which are sufficiently important to merit the attention of those charged with governance (TCWG), he shall communicate the same in writing to those charged with governance.

The auditor shall include the following aspects in such communication:

6aStep1

1) Description of identified deficiencies and their potential implications on financial reporting and the entity.

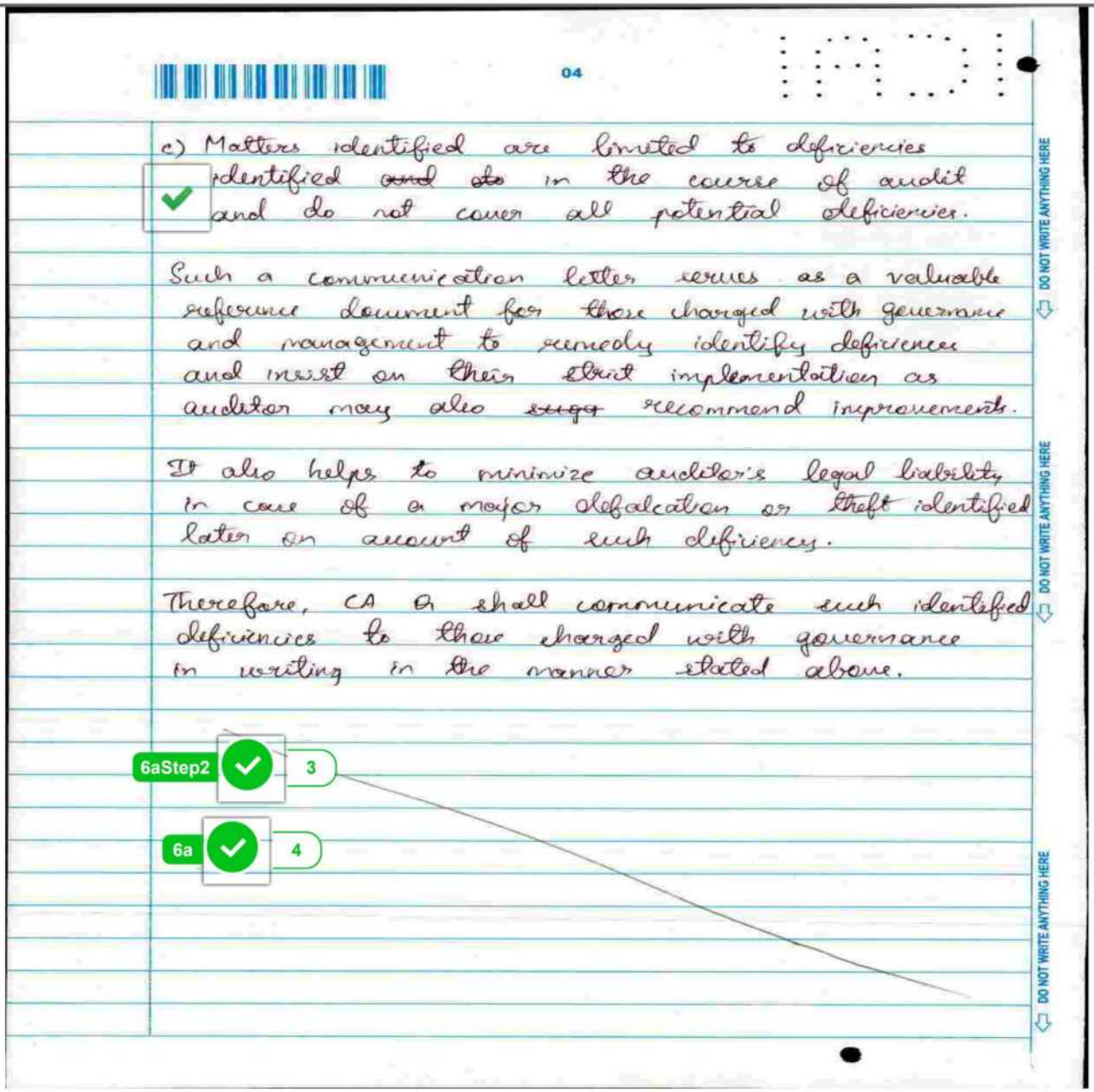
b) Sufficient information for those charged with governance to understand the context of such communication.

The auditor shall state that:

a) The purpose of audit was to express an opinion on financial statements.

b) The audit included consideration of controls relevant to financial reporting for designing audit procedures appropriate in the circumstances but not for the purpose of expressing an opinion on effectiveness of such controls.

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04

c) Matters identified are limited to deficiencies identified ~~and do~~ in the course of audit and do not cover all potential deficiencies.

Such a communication letter serves as a valuable reference document for those charged with governance and management to remedy identify deficiencies and insist on their strict implementation as auditor may also ~~sugg~~ recommend improvements.

It also helps to minimize auditor's legal liability in case of a major defalcation or theft identified later on account of such deficiency.

Therefore, CA A shall communicate such identified deficiencies to those charged with governance in writing in the manner stated above.

6aStep2 3

6a 4

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05

c) Option - 1

As per clause (6) of Part I of First Schedule to the Chartered Accountants Act, 1949, a chartered accountant (CA) in practice shall be deemed to be guilty of professional misconduct if he solicits clients or professional work, directly or indirectly by circular, advertisement, personal communication, interview or any other means.

6cStep1 1

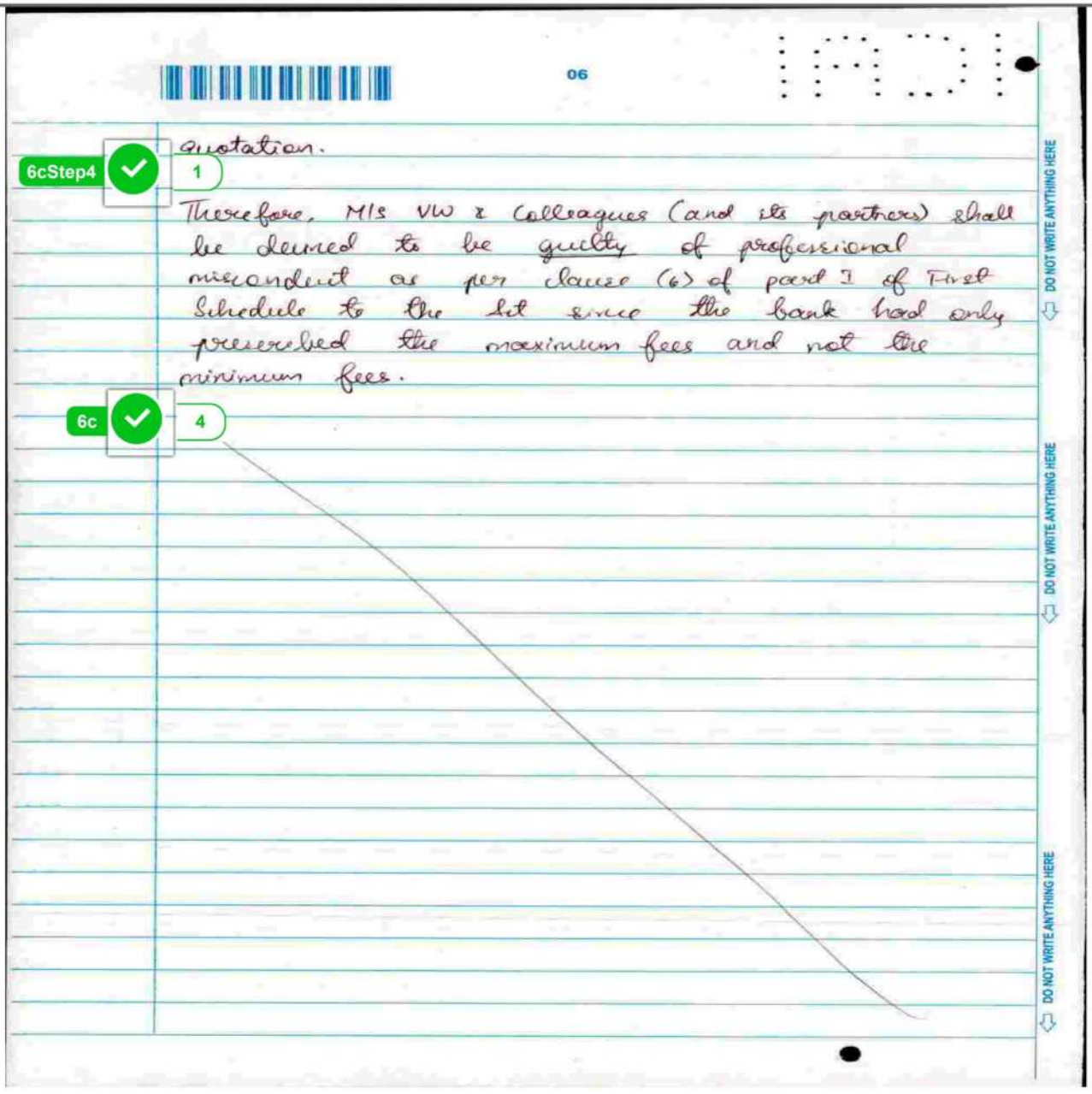
Provided nothing contained in this clause shall prevent a CA in practice from responding to tenders issued by various users of professional services and acquiring professional work as a consequence.

6cStep2 1

However, when such a tender is issued for services exclusively provided by CAs, he should not respond to such tender unless minimum fees for such assignment is prescribed.

6cStep3 1

In the given case, SAFE Cooperative Bank shortlisted M/s VW & Colleagues, for assignment of Statutory Audit (being a service exclusively provided by CAs) and emailed the list of branches to the firm with maximum fee per branch and requested them to submit quotations. M/s VW & Colleagues responded and submitted their


06
quotation.
6cStep4
1
Therefore, M/s VW & Colleagues (and its partners) shall be deemed to be guilty of professional misconduct as per clause (6) of part I of First Schedule to the Act since the bank had only prescribed the maximum fees and not the minimum fees.
6c
4
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07

b) As per SRE 2410, the auditor shall cover the following aspects in the written representation (WR) in relation to review of interim financial information:

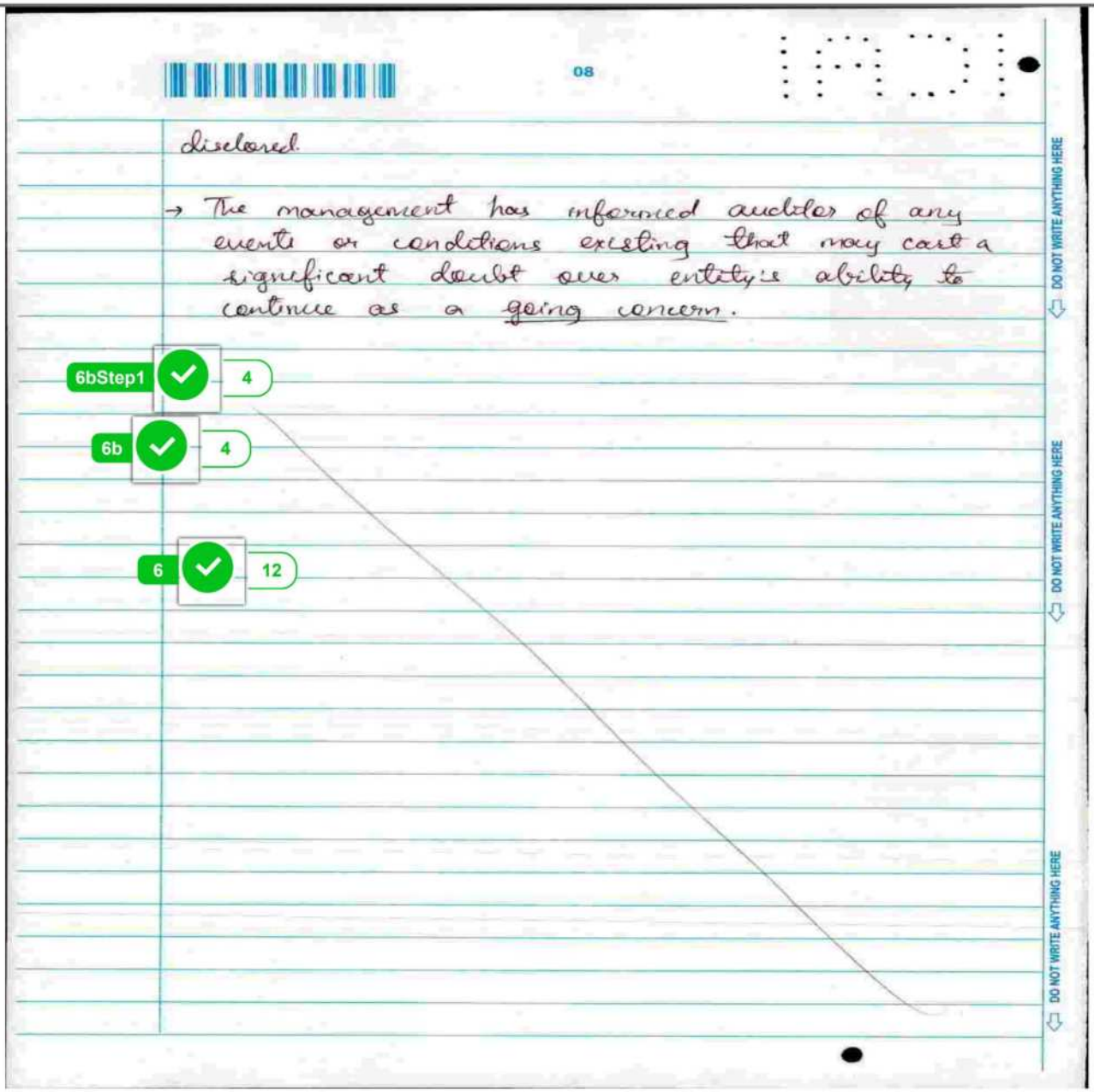
→ Interim financial information (IFI) has been prepared ~~and~~ as per applicable financial reporting framework (FRF) and ~~as~~ where relevant, fairly presented. ✓

→ The management has provided the auditor with all information and explanations necessary for the purpose of preparation of IFI.

→ The management has disclosed to the auditor all known instances of non-compliance with laws and regulations and ~~as~~ appropriately given effect to such matters in IFI. ✓

→ The management has ~~disclosed~~ provided the auditor with its assessment that IFI may be materially misstated due to fraud and disclosed all known or suspected cases of fraud committed by the management or employees having significant roles in internal control. ✓

→ All events occuring upto the date of auditor's report ~~ha~~ that require adjustment or disclosure in IFI have been appropriately adjusted or ✓


08
disclosed.
→ The management has informed auditor of any events or conditions existing that may cast a significant doubt over entity's ability to continue as a going concern.
6bStep1
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6b
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09

Q5) a) As per SA 810, following are the procedures to be performed by the auditor to provide an opinion on such abridged financial statements (FS):

→ Whether the abridged / summary FS adequately disclose the applied criteria.

→ Whether the abridged / summary FS are prepared in all material respects, as per the applied criteria.

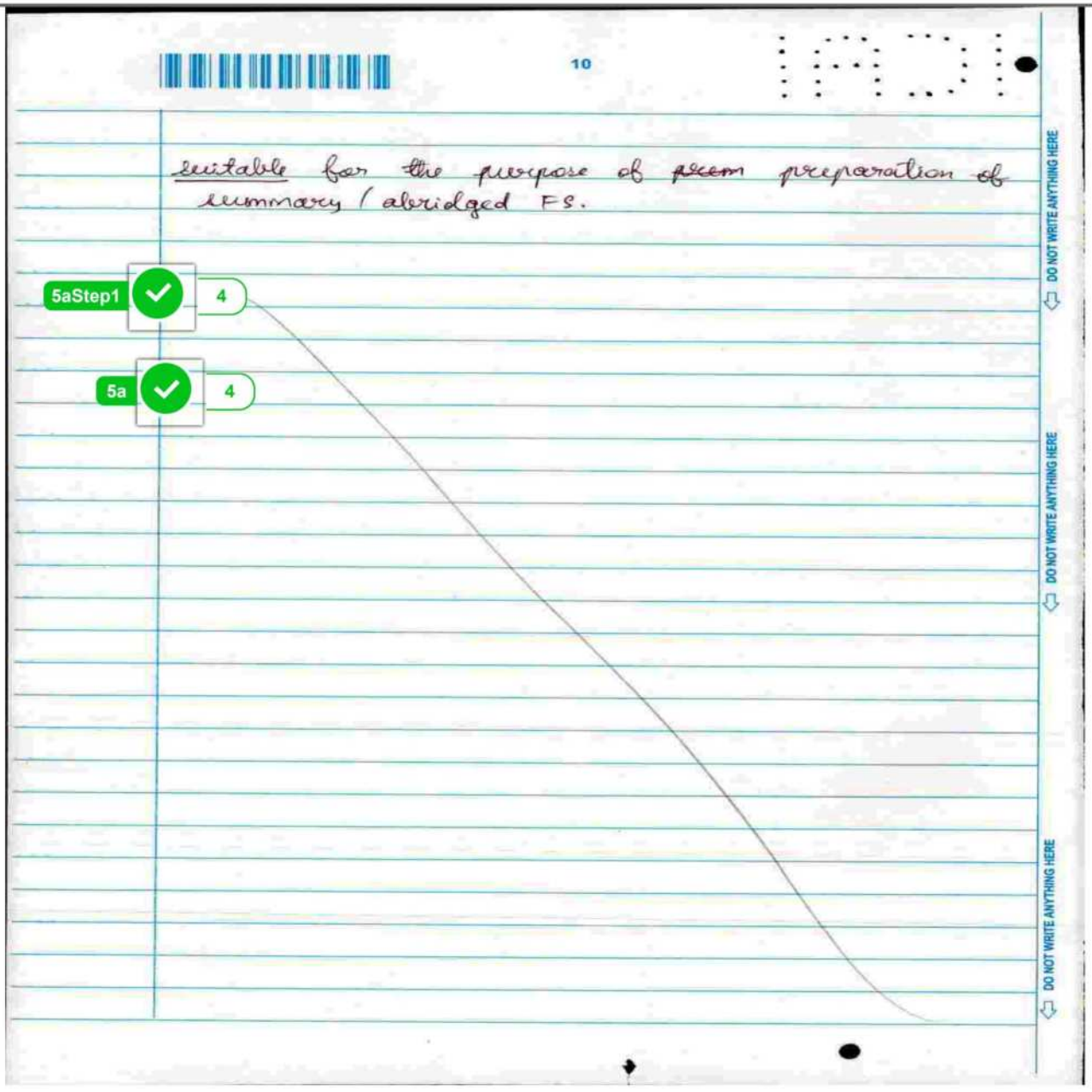
→ Whether the abridged / summary FS are prepared at an appropriate level of aggregation and include sufficient information to not be misleading for their purpose.

→ Performing reconciliations and recalculations to verify that abridged / summary FS can be derived or from audited FS.

→ Whether management has sufficiently described in detail to users on how to access audited FS or made available audited FS to the users unless law or regulation does not require the management to make audited FS available to the users and prescribes criteria for preparation of ~~sum~~ summary / abridged FS.

→ Evaluate ~~out~~ whether the applied criteria are

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suitable for the purpose of exam preparation of summary / abridged FS.
5aStep1
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5a
4
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11

c) As per section ~~26~~ the Chartered Accountants Act, 1949, a ~~chartered~~ chartered accountant (CA) shall be deemed to be in practice if he ~~performs~~ renders individually or ~~as~~ in partnership with other CAs, such services that in the opinion of Council are performed by CA in practice.

Accordingly, the Institute has passed a resolution permitting CAs in practice to render an entire range of 'management consultancy and other services'.

In view of the aforesaid resolution, management consultancy services include advising companies for selection of advertising agencies, co-ordinating with bankers and brokers to an issue in relation to an IPO but underwriting services are not permitted to be provided by CAs in practice.

In the given case, CA Neha has also underwritten the public issue of the company to the extent of 20% at a commission of 1%. Therefore, she shall deemed to be guilty of professional misconduct.

However, services of selection of advertising agencies co-ordinating with bankers and brokers to issue are permitted to be made by CA Neha.

5cStep1 1 5cStep2 2 5c 3

12

b) As per SA 505, when the auditor has ~~doubt~~ doubts over reliability of external confirmations received from third parties, he shall reassess the risk of material misstatement including fraud, ~~and~~ determine the nature, timing and extent of procedures appropriate to the circumstances. ~~and re-assess the reliability~~

Even though external confirmations are obtained from independent sources outside the entity, circumstances may exist that affect its reliability. All responses carry the risk of ~~alteration and mani~~ interception, alteration and manipulation. Such risk exists irrespective of whether the confirmations are obtained by physical or electronic modes.

External confirmations may appear to be less reliable when :

→ Obtained ~~of~~ indirectly by auditor (or)
→ Appear to come from not the originally intended confirming party.

~~Reliabb~~ ~~Reliability~~ Unreliability of external confirmations is a fraud risk factor that requires further consideration.

5bStep1 0

In the given case, M/s R & Associates (auditor)

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requested the company to authorise them to send external confirmation to few of the company's vendors and customer. The company immediately provided them the authorisation letters and responses to auditor's external confirmation were received within 2 days from ~~the~~ via the management.

The above situation clearly indicates doubt over reliability of such external confirmation since:

a) Firstly confirmations were received indirectly via management which are normally to be received as a direct written response to the auditor.

b) Prompt responses received from all parties in 2 days which is seldom the scenario.

5bStep2 1

5b 1

5 8

Q2) a) SA 250 identifies two types of laws & regulations (L&R) in respect of auditor's responsibilities:

a) There L&R that have a direct effect on determination of material amounts and disclosures in the financial statements (FS).

b) Other L&R which do not have a direct effect on amounts & disclosures in FS but compliance with which may be fundamental to the operating aspects of business.

2aStep1 2

The auditor shall firstly obtain an understanding of:

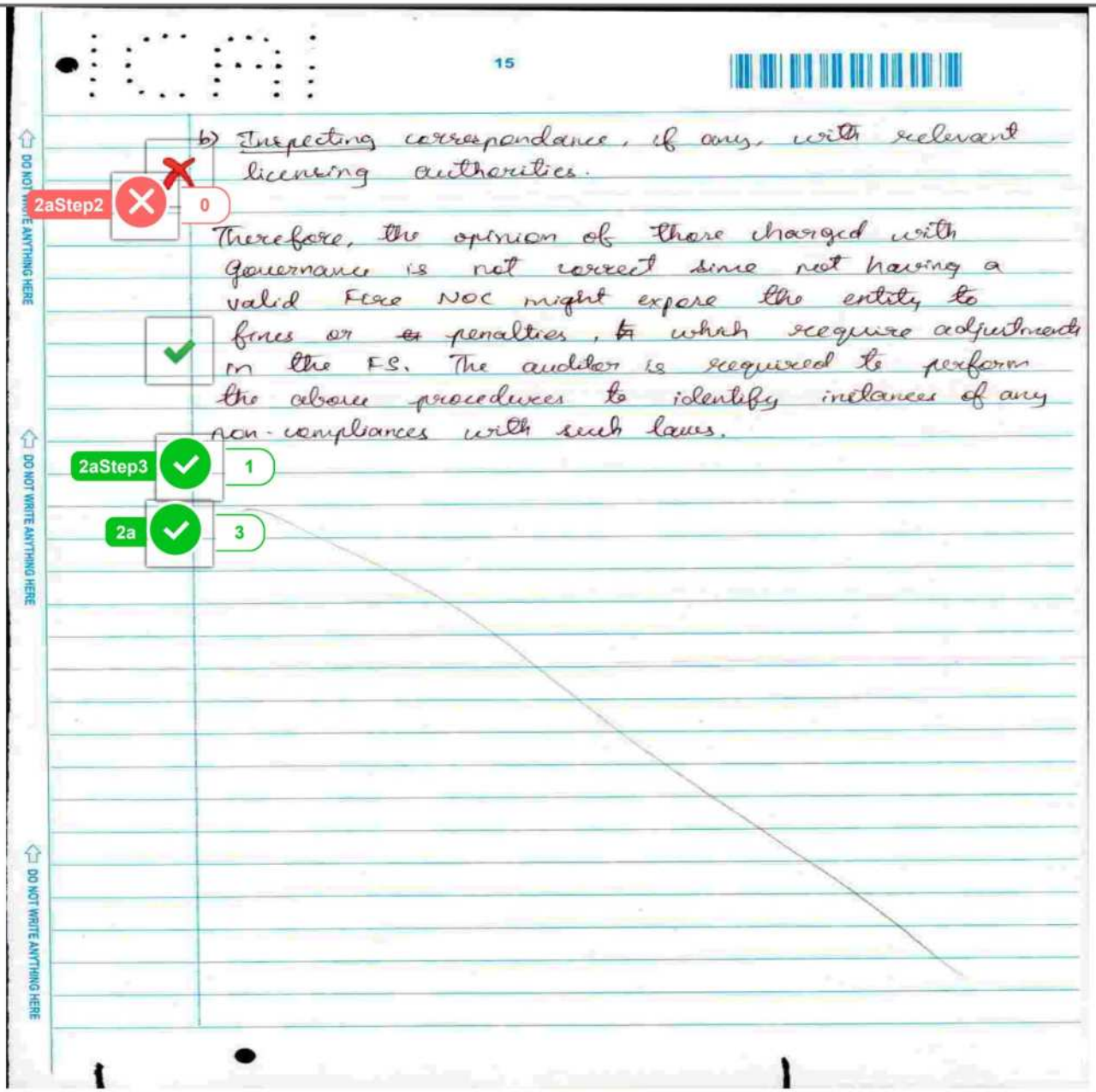
a) Legal & regulatory framework applicable to the entity and

b) How the entity is complying with such framework.

In relation to L&R not having a direct effect on amounts and disclosures in FS (type (b) above), the auditor shall perform the following procedures to identify any instances of non-compliances with such which may lead to incurrence of fines and penalties by the entity requiring effect in FS in the form of provisions or contingent liabilities:

a) Inquiring management & others within the entity for any cases of non-compliance.

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15

b) Inspecting correspondance, if any, with relevant licensing authorities.

2aStep2 0

Therefore, the opinion of those charged with governance is not correct since not having a valid Fire NOC might expose the entity to fines or ~~et~~ penalties, ~~to~~ which require adjustments in the F.S. The auditor is required to perform the above procedures to identify instances of any non-compliances with such laws.

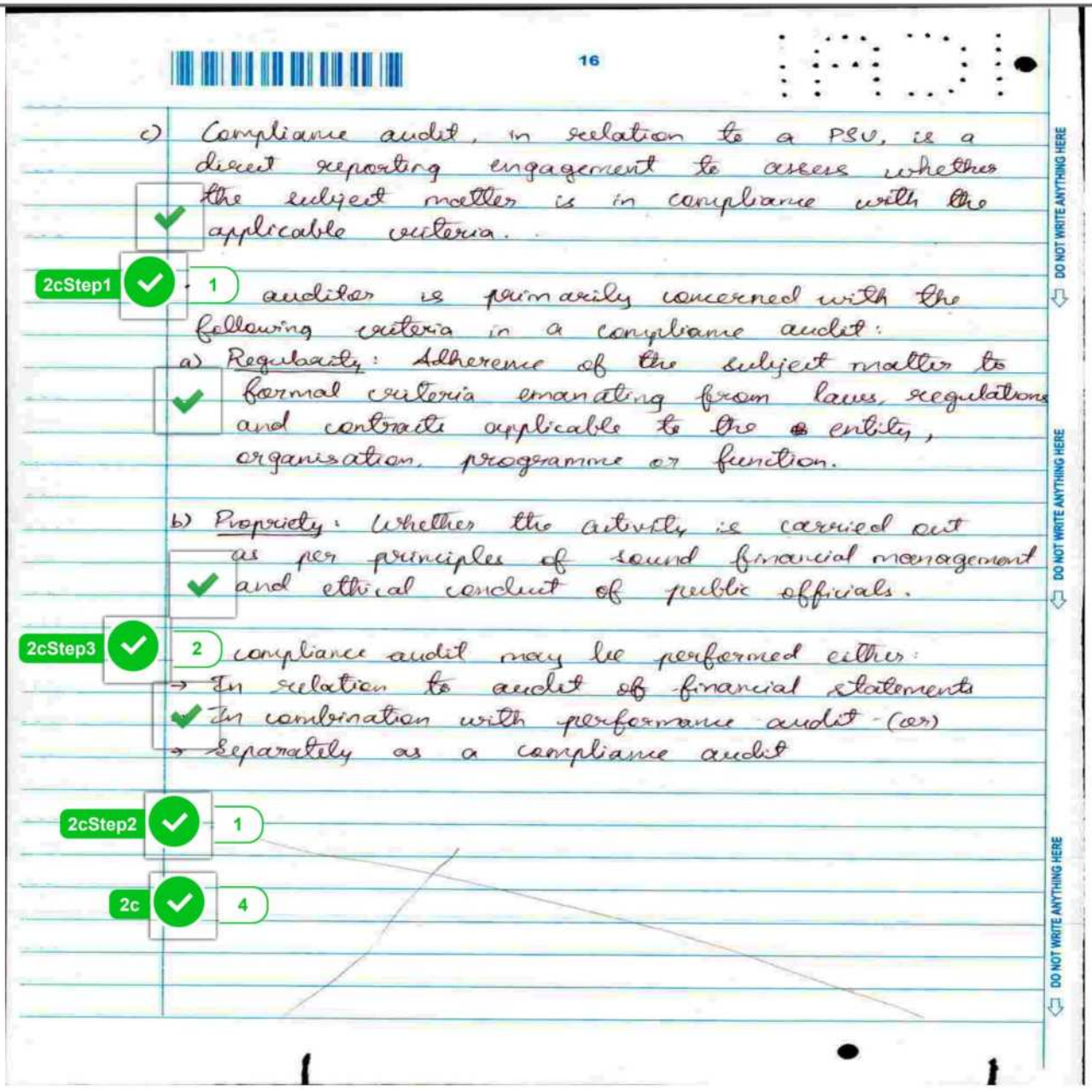
2aStep3 1

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c) Compliance audit, in relation to a PSU, is a direct reporting engagement to assess whether the subject matter is in compliance with the applicable criteria.

2cStep1 1 auditor is primarily concerned with the following criteria in a compliance audit:

a) Regularity: Adherence of the subject matter to formal criteria emanating from laws, regulations and contracts applicable to the entity, organisation, programme or function.

b) Propriety: Whether the activity is carried out as per principles of sound financial management and ethical conduct of public officials.

2cStep3 2 compliance audit may be performed either:
→ In relation to audit of financial statements
→ In combination with performance audit (or)
→ Separately as a compliance audit

2cStep2 1

2c 4

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b) i) As per the revised Code of Ethics, responsibility to respond to non-compliance is cast on the following persons:

a) Auditors of listed companies having net worth of ₹250 crore or more

b) Senior professional accountants in service employed in senior management positions.

In the given case, TGR Limited is an unlisted company having net worth of ₹500 crores. Mr. X, the senior most director ~~who~~ is a Chartered Accountant (CA). Accordingly, contention of Mr. X is not valid as there is responsibility cast on him to appropriately respond to identified instances of imminent breach of law that would cause substantial harm to investors, creditors and employees of the company.

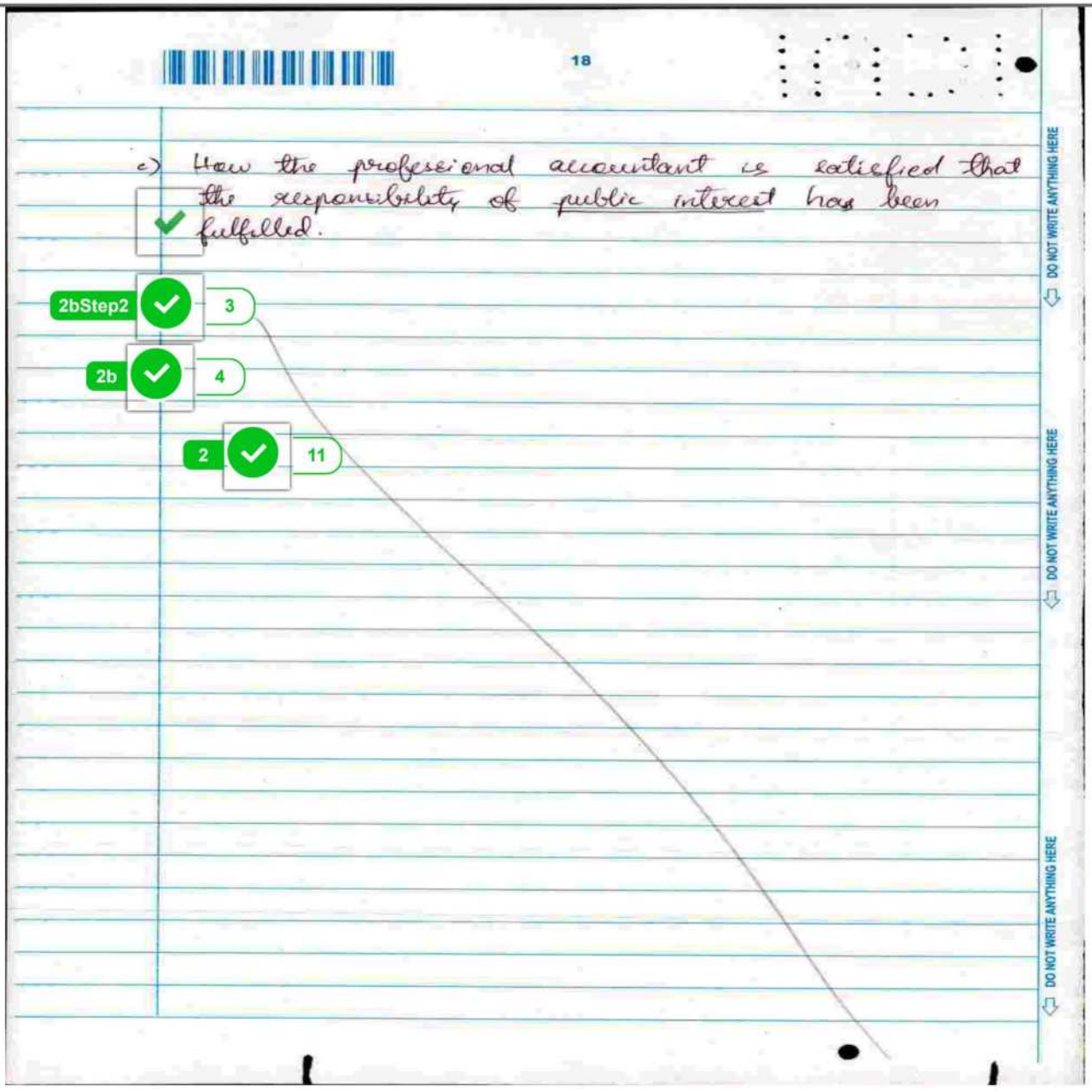
2bStep1 1

ii) Following are the documentation requirements to be prepared by CA F regarding non-compliance:

a) Responses and actions taken by the entity, management and those charged with governance in respect of such non-compliance.

b) Evaluations made by the professional accountant in determining the appropriate course of actions, judgements made and conclusions reached in taking such actions.

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18
c) How the professional accountant is satisfied that the responsibility of public interest has been fulfilled.
2bStep2
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2b
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Q3) b) As per SA 540, in relation to high uncertainty estimates that are identified as significant risks, following evaluations are required to be made by the auditor:

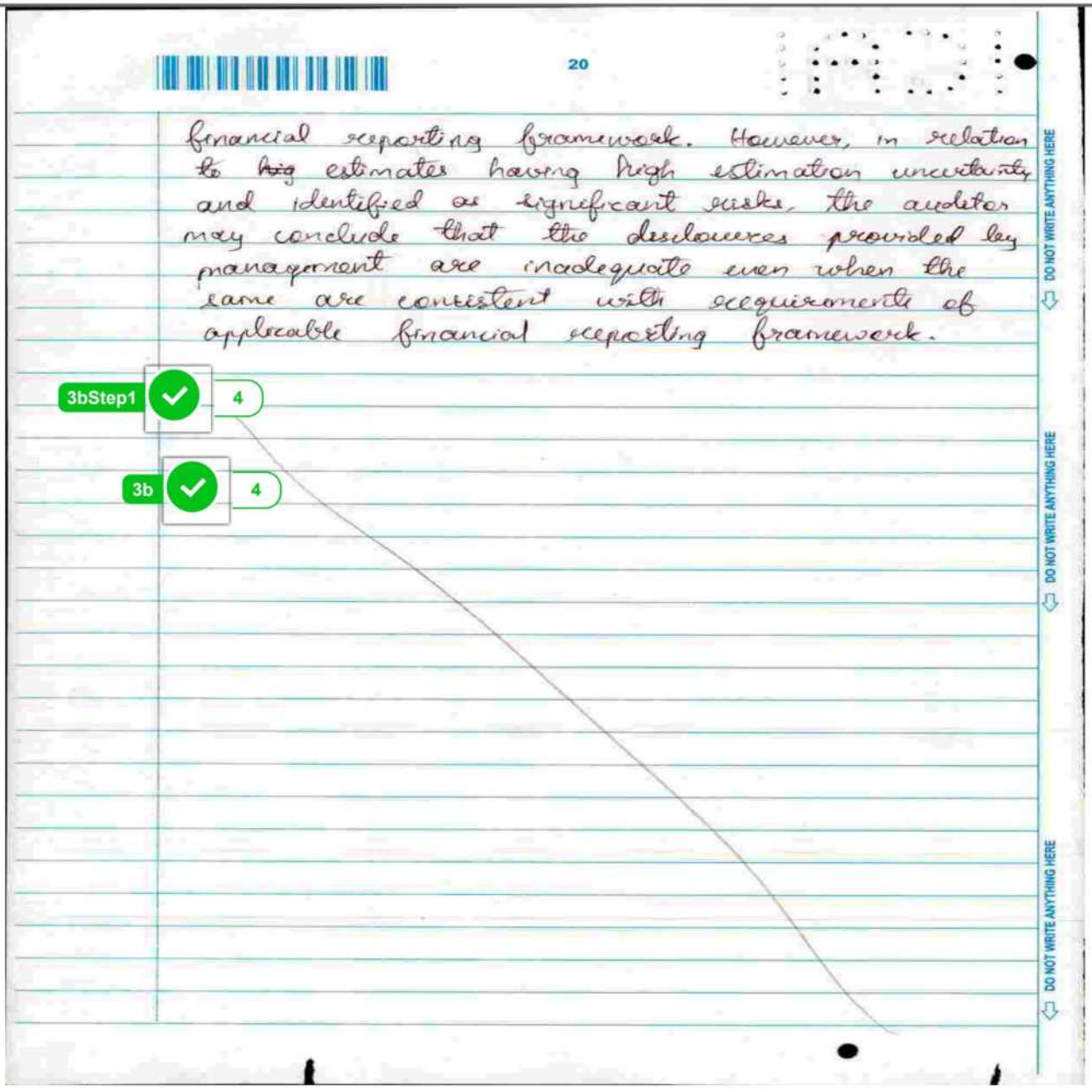
a) How the entity has considered alternative measurements possible in the circumstances and why rejected them in light of estimation uncertainty involved.

b) Whether significant assumptions made by the management in relation to estimates ~~did~~ identified as significant risks are reasonable.

c) Where relevant to the basis of assumptions made in measuring accounting estimates, in relation to management's intent, their past history of carrying out stated course of action, reasons for choosing the particular course of action and ability to carry out stated intentions.

d) When in the auditor's opinion, management has not adequately addressed the effect of estimation uncertainty, develop a range of values to evaluate management's estimate.

e) Whether the effects of estimation uncertainty have been appropriately disclosed in the financial statements, as required by the applicable


20
financial reporting framework. However, in relation to ~~big~~ estimates having high estimation uncertainty and identified as significant risks, the auditor may conclude that the disclosures provided by management are inadequate even when the same are consistent with requirements of applicable financial reporting framework.
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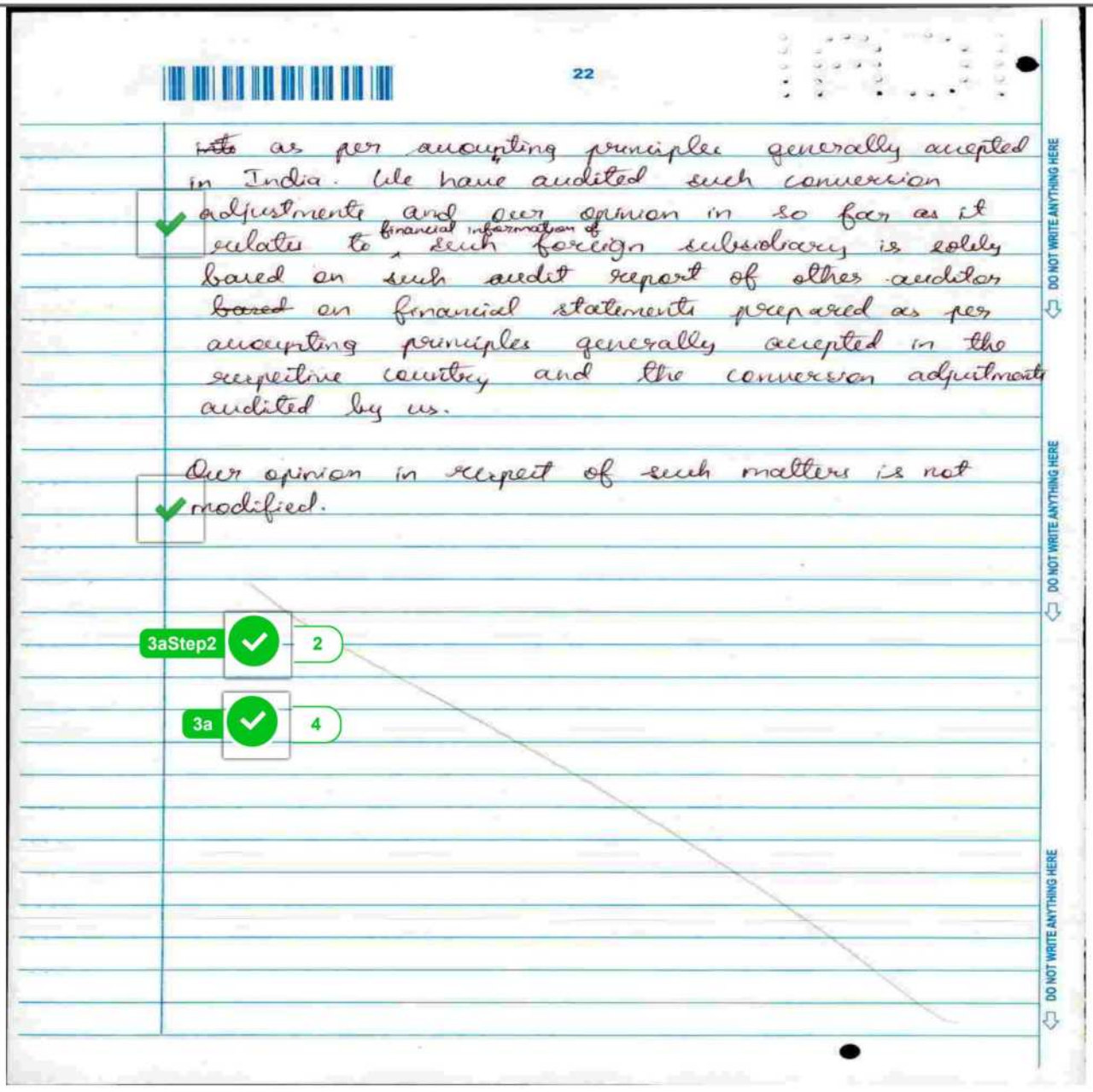
a) In accordance with SA 600 and ICAI's guidance note on group reporting engagements, M/s CES & Associates shall give the following note under "Other Matters" paragraph in respect of financial information of components audited by other auditors to indicate their divided responsibility

Other Matters

We did not audit the financial information of ~~components~~ 4 subsidiaries included in the consolidated financial statements having total assets of ₹900 crores, total revenues of ₹1,290 crores and net cash outflows of ₹45 crores. Financial information of such subsidiaries was audited by other auditors whose financial statements, financial information and auditors reports were furnished to us by the management of holding company. Our opinion, in so far as it relates to such subsidiaries, is solely based on such reports of other auditors.

3aStep1 2

Further, financial information of one subsidiary ~~was prepared~~ located outside India was prepared in accordance with accounting principles generally accepted in the respective country, which has been audited under generally accepted auditing standards applicable to by the other auditor. The management of ~~the~~ holding company have converted such financial statements



22

~~into~~ as per accounting principles generally accepted in India. We have audited such conversion adjustments and our opinion in so far as it relates to financial information of such foreign subsidiary is solely based on such audit report of other auditor ~~based~~ on financial statements prepared as per accounting principles generally accepted in the respective country and the conversion adjustments audited by us.

Our opinion in respect of such matters is not modified.

3aStep2 2

3a 4

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c) As per SRE 2410, the objective of auditor is to obtain limited assurance that interim financial information prepared by management is free from material misstatements due to fraud or error and thereby conclude whether anything has come to the auditor's attention causing him to belive that ~~the~~ interim financial information is not prepared ~~in~~ as per applicable financial reporting framework or does ~~not~~ ~~is~~ not achieve fair ~~&~~ presentation, where applicable.

Review engagement is a limited assurance engagement where no audit opinion is issued but a negatively worded assurance conclusion is expressed.

It primarily consists of making inquiries and performing analytical procedures to determine whether anything has come to the auditor's attention causing him to belive that interim financial information is ~~so~~ materially misstated.

Detailed substantive & compliance procedures are not necessary unless auditor determines necessary 2 do so in the applicable circumstances.

3cStep1 3c 3 10

Q1) a) In accordance with SQC 1 and SA 220, an EQCR is required to be assigned in respect of audit engagements of listed entities.

EQCR is an ~~person of~~ ~~duty~~ individual or team of individuals, within or outside the firm, having sufficient experience & authority to objectively evaluate the significant judgements made by the engagement and conclusions reached in to forming the audit opinion.

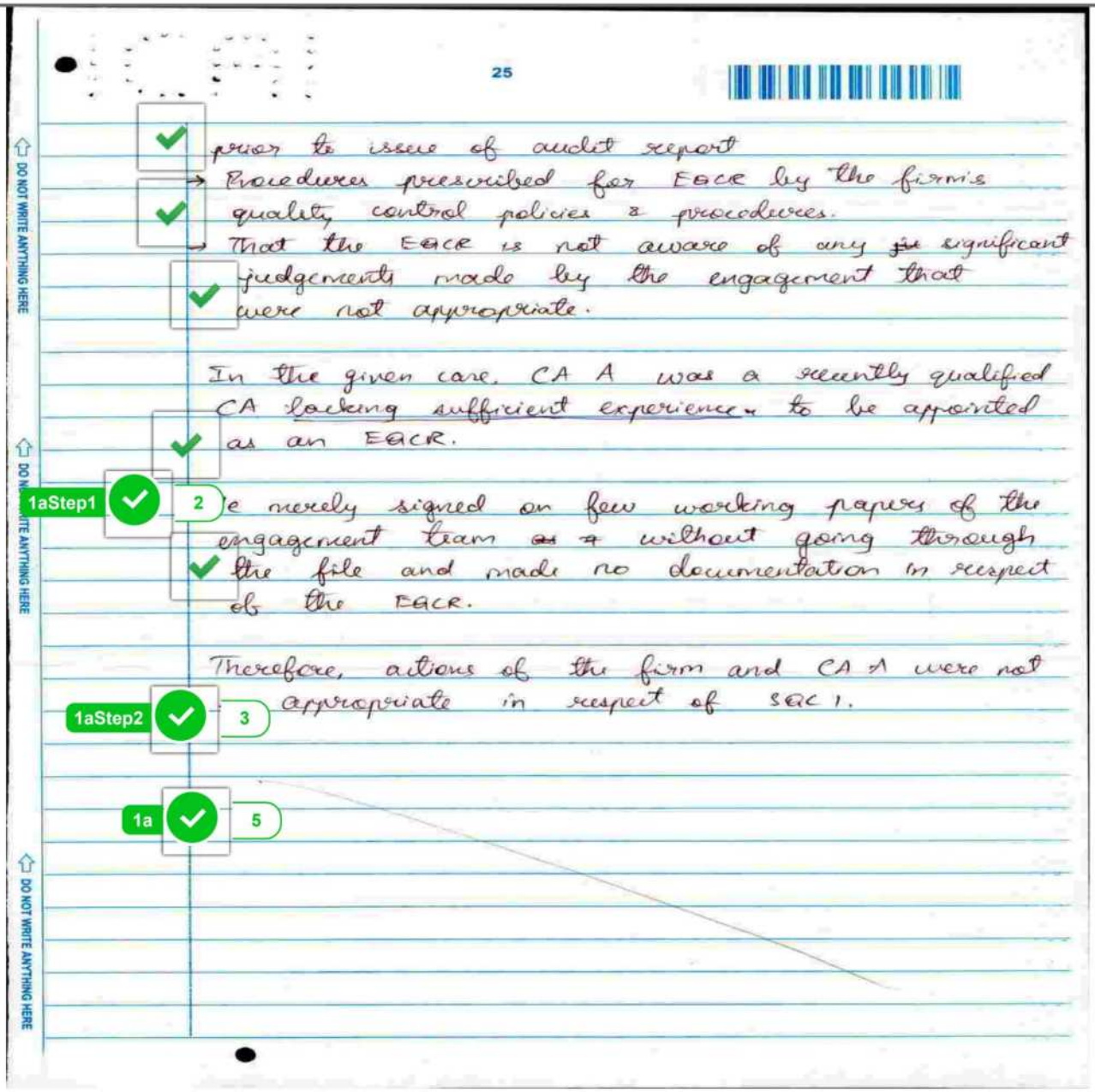
An EQCR is required to review the following areas:

→ Engagement team's assessment of firm's independence in relation to the engagement.
→ Significant risks identified and responses to such risks.
→ Judgements made with respect to materiality and significant risks
→ Matters relation to communication and final disposition of uncorrected misstatements identified during the course of engagement
→ Appropriateness of report to be issued in the circumstances.

Further, EQCR is required to document the following aspects:

→ Engagement quality control review was completed

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prior to issue of audit report
→ Procedures prescribed for EQCR by the firm's quality control policies & procedures.
→ That the EQCR is not aware of any ~~the~~ significant judgements made by the engagement that were not appropriate.

In the given case, CA A was a recently qualified CA lacking sufficient experience to be appointed as an EQCR.

1aStep1 2 e merely signed on few working papers of the engagement team ~~as~~ & without going through the file and made no documentation in respect of the EQCR.

Therefore, actions of the firm and CA A were not appropriate in respect of SQC 1.

1aStep2 3

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c) As per clause (xxi) of para 3 of CARO 2020, the auditor is required to report if any adverse remarks have been reported by the respective auditors of components included in the consolidated financial statements and if so, the clause numbers of respective CARO reports and remarks given by the auditors.

Therefore, CA P shall report the following items under clause 3(xxi) of the consolidated CARO report:

a) In respect of KK Ltd., the auditor has qualified clause 3(xv) since the company has not complied with the provisions of section 192 of the Companies Act while entering into non-cash transactions with director.

1cStep1 ✗ 0

b) In respect of OP Ltd., its auditor has made adverse remarks in clause 3(ix)(a) since company has defaulted in repayment of loans to bankers.

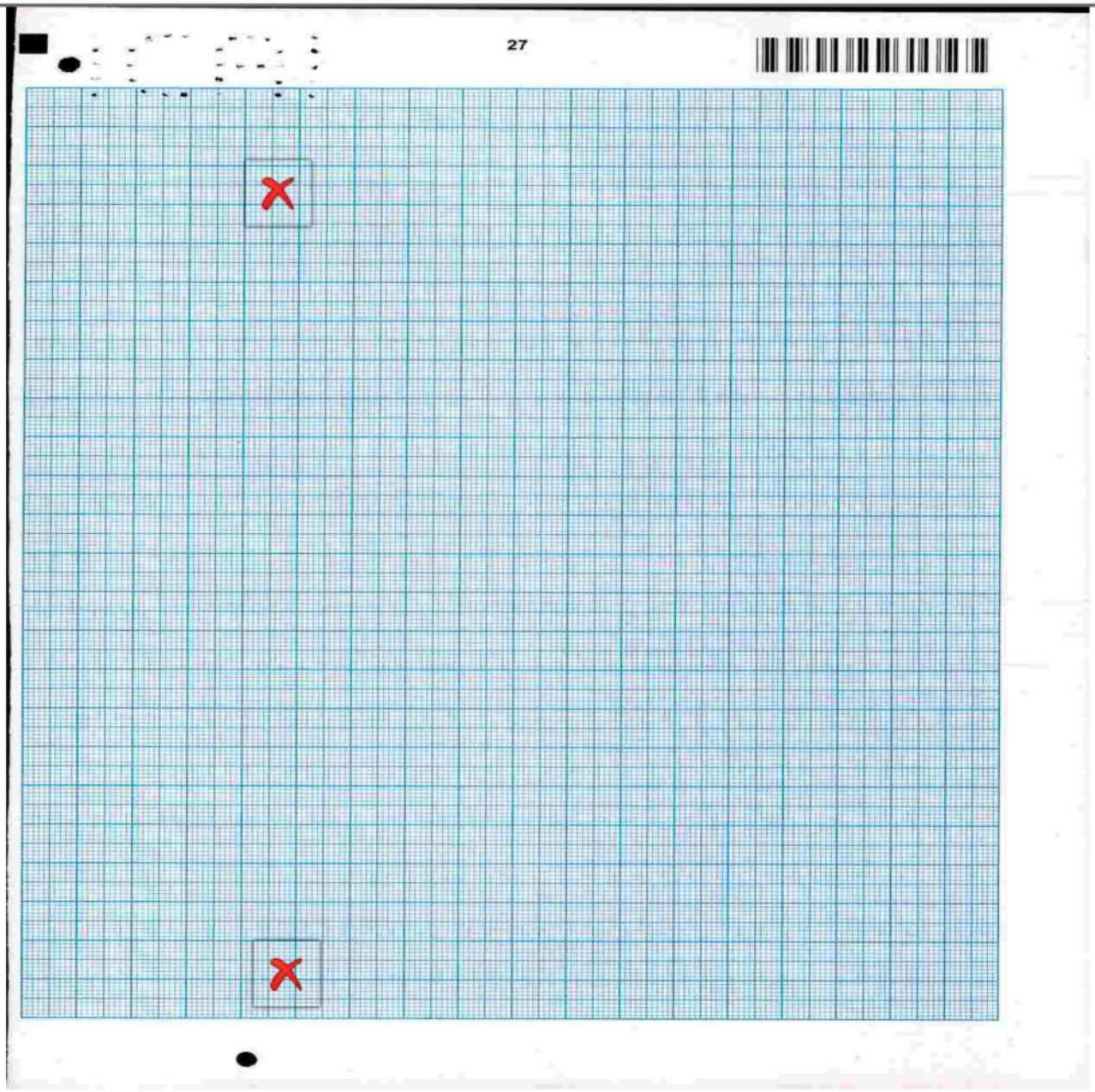
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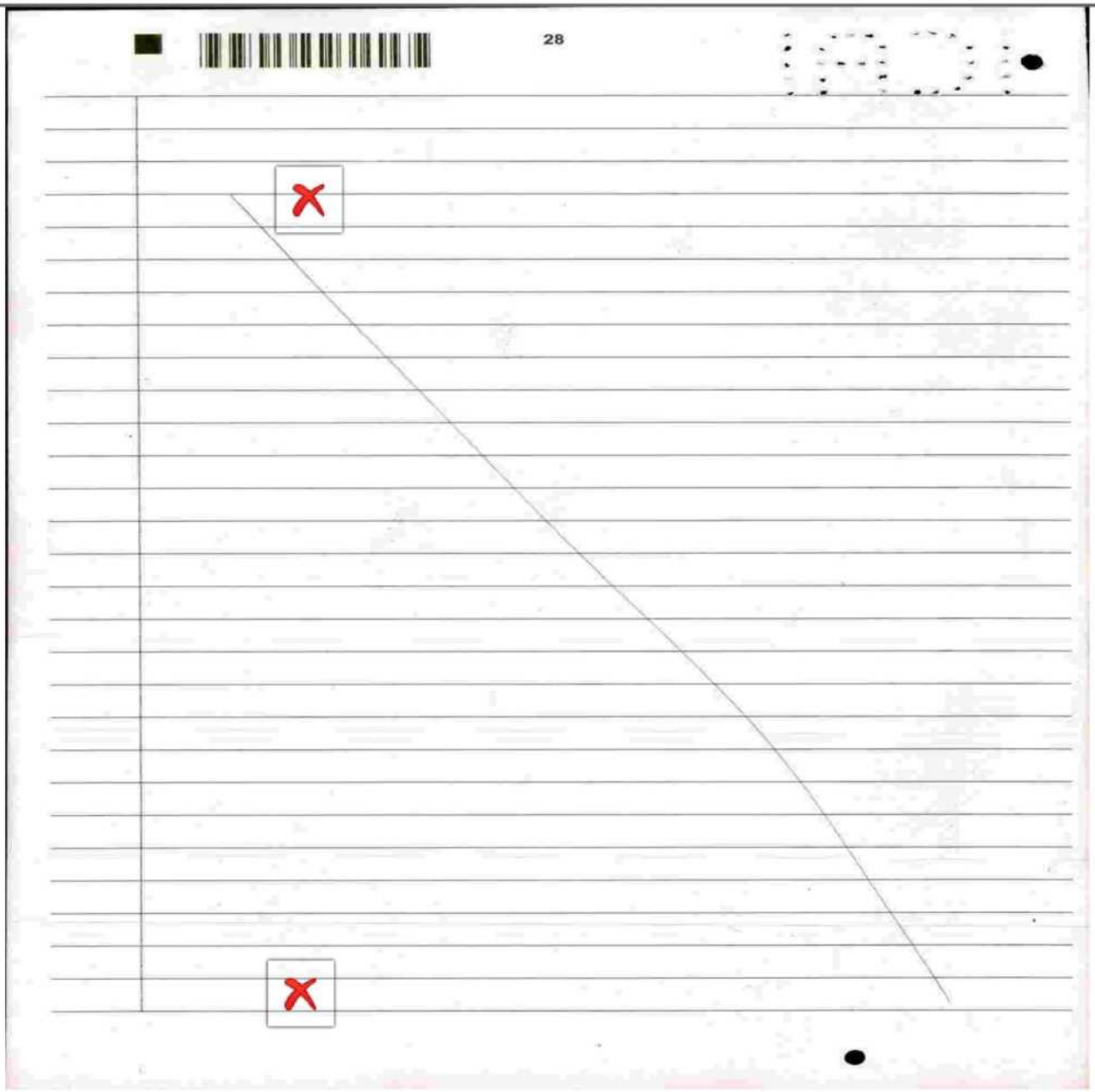
In respect of AZ Industries Ltd, the principal auditor has given adverse remark in respect of clause 3(i)(c) since title deeds of some immovable properties were not held in the name of the company.

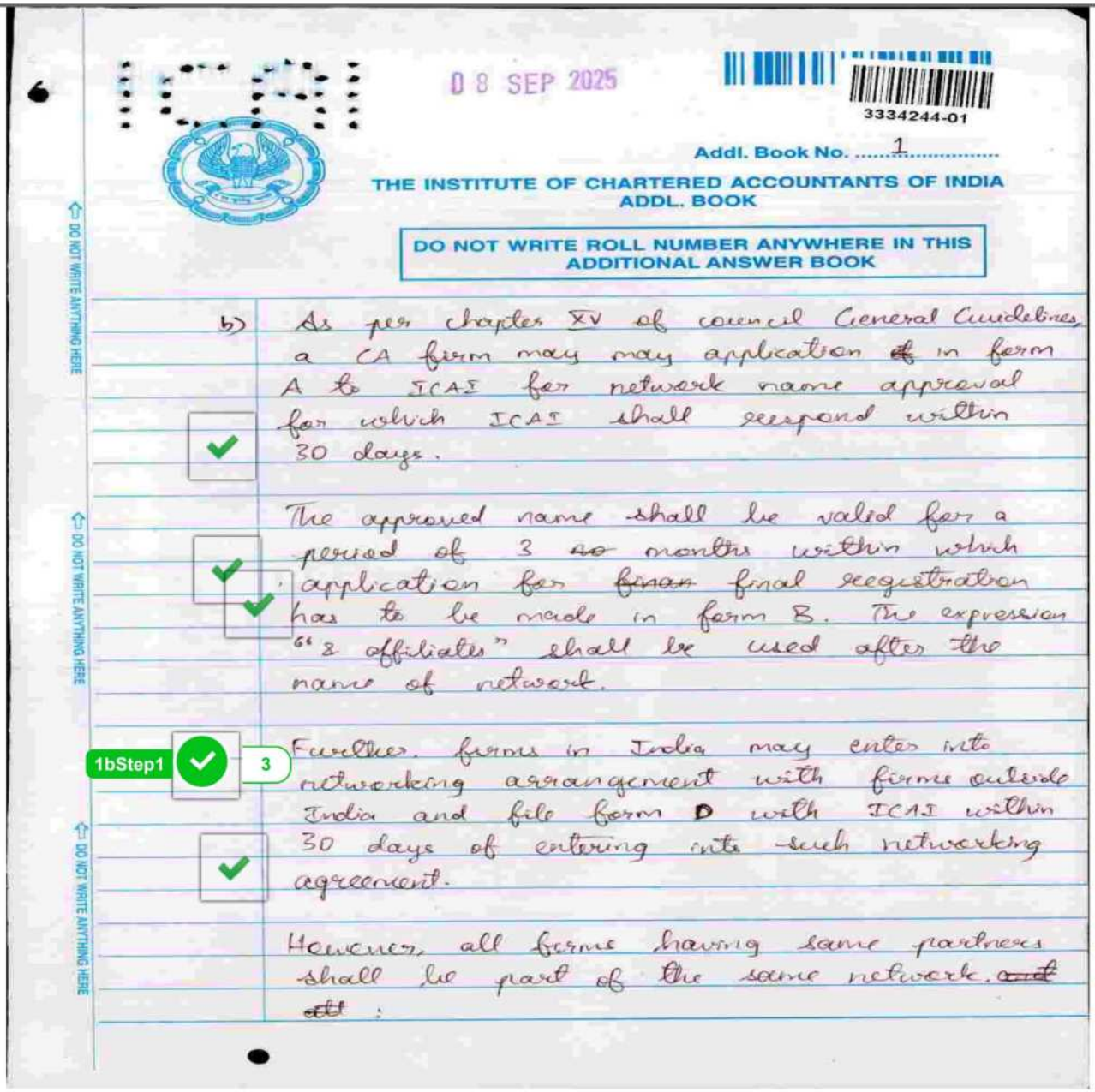
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08 SEP 2025

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Addl. Book No. 1

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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b) As per chapter XV of council General Guidelines, a CA firm may may application ~~of~~ in form A to ICAI for network name approval for which ICAI shall respond within 30 days.

The approved name shall be valid for a period of 3 ~~as~~ months within which application for ~~finan~~ final reegistration has to be made in form B. The expression "& affiliates" shall be used after the name of network.

1bStep1 3

Further, firms in India may enter into networking arrangement with firms outside India and file form D with ICAI within 30 days of entering into such networking agreement.

However, all firms having same partners shall be part of the same network. ~~and~~ :

In the given case, Suba & Affiliates need to register the network with ICAI within 3 months by furnishing form B.

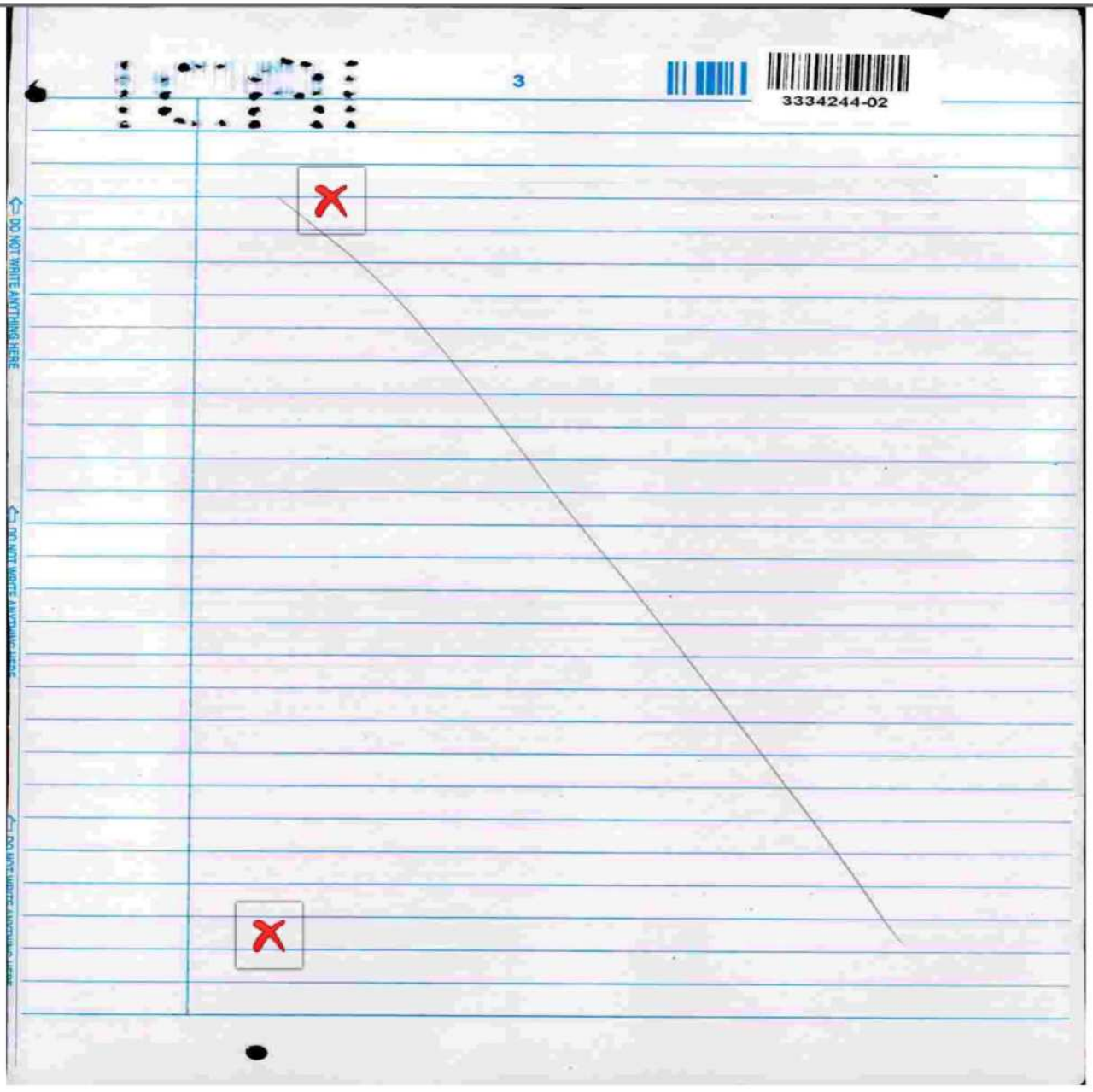
Further, M/s RS & Associates, ~~has~~ one of the member firm has signed a collaboration agreement with an international firm in Singapore. Such action of M/s RS & Associates is not valid as per Council General Guidelines ~~and~~ as it cannot be a part of a separate international firm, ~~then~~ ~~it~~ since it has already ~~applied~~ in the process of registering under 'Suba & Affiliates'.

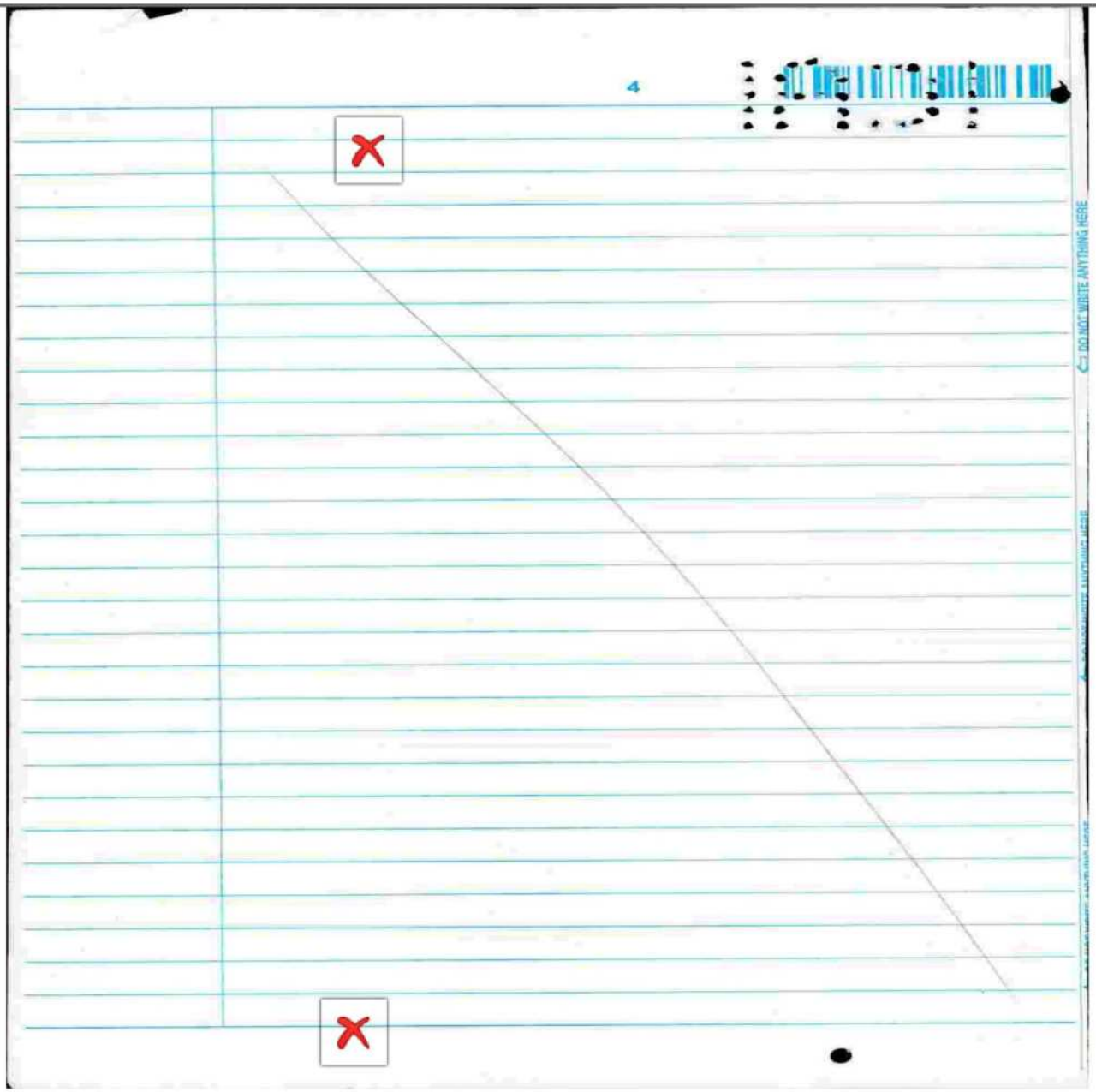
1bStep2 ✓ 1

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The Institute of Chartered Accountants of India

Code: FN3AP334244 Total Marks: 70
Subject : 03 Advanced Auditing Assurance and Professional Ethics Marks Obtained : 50

Result Overview

Awarded Marks: 50 Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 9/14)

Question No	Awarded Marks	Maximum Marks	Status
1	9	14	M
1a	5	5	M
1b	4	5	M
1c	0	4	M

Q2_Q6 (Score: 41/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11	14	M
2a	3	5	M
2b	4	5	M
2c	4	4	M
3	10	14	M
3a	4	5	M
3b	4	5	M
3c	2	4	M
4	0	14	O
4a	0	5	O
4b	0	5	O
4c	0	4	O
5	8	14	M
5a	4	5	M
5b	1	5	M
5c	3	4	M
6	12	14	M
6a	4	5	M
6b	4	5	M

6c	4	4	M